

Question 1

Question ID: 1575150

Karen Jones, CFA, is an outside director for Valley Manufacturing. At a directors' meeting, Jones finds out that Valley has made several contributions to foreign politicians that she suspects were illegal. Jones checks with her firm's legal counsel and determines that the contributions were indeed illegal. At the next board meeting, Jones urges the board to disclose the contributions. The board, however, votes not to make a disclosure. Jones's *most appropriate* action would be to:

A) protest the board's actions in writing to the executive officer of Valley.



B) resign from the board and seek legal counsel as to her legal disclosure requirements.



C) inform her supervisor of her discovery and cease attending meetings until the matter is resolved.



Explanation

According to Standard I(A) Knowledge of the Law, since she has taken steps to stop the illegal activities and the board has ignored her, Jones must dissociate from the board and seek legal advice as to what other actions would be appropriate in this instance. She may need to inform legal or regulatory authorities of the illegal activities.

(Module 91.1, LOS 91.a), (Module 91.1, LOS 91.b), and (Module 91.1, LOS 91.c)

Related Material

[SchweserNotes - Book 5](#)

Question 2

Question ID: 1575151

Josef Karloff, CFA, acts as liaison between Pinnacle Financial (an investment management firm) and Summit Inc. (an investment banking boutique specializing in penny stocks). When Summit underwrites an IPO, Karloff routinely has Pinnacle issue vague statements implying that the firm has cash flows, financial resources, and growth prospects that are better than is the case in reality. This action is *most likely* a violation of the section of the Standards concerning:

A) fair dealing.



B) nonpublic information.



C) misconduct.



Explanation

Since the statements are vague, we have no direct evidence that a violation of securities law has occurred. However, under Standard I(D) Misconduct, members and candidates are prohibited from engaging in activities involving deceit. Karloff's action is a clear attempt to mislead the investing public regarding the value of Summit IPOs.

(Module 91.1, LOS 91.a), (Module 91.1, LOS 91.b), and (Module 91.1, LOS 91.c)

Related Material

SchweserNotes - Book 5

Question 3

Question ID: 1575152

Over the past two days, Lorraine Quigley, CFA, who is the manager of a hedge fund, has been purchasing large quantities of Craeger Industrial Products' common stock while at the same time shorting put options on the same stock. Quigley did not notify her clients of the trades, although they are aware of the fund's general strategy to generate returns. Which of the following statements is *most likely* correct? Quigley:

A) did not violate the Code and Standards.



B) violated the Code and Standards by manipulating the prices of publicly traded securities.



C) violated the Code and Standards by failing to disclose the transactions to clients before they occurred.



Explanation

Quigley's trades are most likely an attempt to take advantage of an arbitrage opportunity that exists between Craeger's common stock and its put options. She is not manipulating the prices of securities in an attempt to mislead market participants, which would violate Standard II(B) Market Manipulation. She is pursuing a legitimate investment strategy. Participants in her hedge fund are aware of the fund's investment strategy, and thus Quigley did not violate the Code and Standards by not disclosing this specific set of trades in advance of trading.

(Module 91.1, LOS 91.a), (Module 91.1, LOS 91.b), and (Module 91.1, LOS 91.c)

Related Material

[SchweserNotes - Book 5](#)

Question 4

Question ID: 1575153

Zanuatu, an island nation, does not have any regulations precluding the use of nonpublic information. Alfredo Romero has a friend and fellow CFA charterholder there, Donna Gordon, with whom he has shared nonpublic information regarding firms outside his industry. The information concerns several firms' internal earnings and cash flow projections. Gordon may:

A) trade on the information under the laws of Zanuatu, which govern her behavior.



B) not trade on the information under CFA Institute Standards, which govern her behavior.



C) trade on the information under CFA Institute Standards, since the firms concerned are outside Romero's industry.



Explanation

Even though the laws of Zanuatu would not preclude trading on the information, as a CFA charterholder, Gordon is bound by the CFA Institute Code and Standards. Standard II(A) prohibits the use of material nonpublic information, and Gordon may not trade the stocks about which she has such information under any circumstances.

(Module 91.1, LOS 91.a), (Module 91.1, LOS 91.b), and (Module 91.1, LOS 91.c)

Related Material

SchweserNotes - Book 5

Question 5

Question ID: 1575154

Will Hunter, CFA, is a portfolio manager at NV Asset Managers. An investment banker asks Hunter to purchase shares in a new IPO to support the price long enough for insiders to liquidate their holdings. Hunter realizes that the price of the shares will almost certainly fall dramatically after his buying support ceases. NV management strongly suggests that Hunter honor the investment banker's request since NV has had a longstanding relationship with the investment bank. If Hunter agrees to make the purchases, he will:

A) not violate the Code and Standards.



B) violate the Standard concerning market manipulation.



C) violate the Standard concerning priority of transactions.



Explanation

NV management is asking Hunter to violate Standard II(B) Market Manipulation, which prohibits actions that are designed to distort prices or artificially increase trading volume. The intent is to mislead market participants and allow corporate insiders to take advantage of artificially high prices.

(Module 91.3, LOS 91.a), (Module 91.3, LOS 91.b), and (Module 91.3, LOS 91.c)

Related Material

Question 6

Question ID: 1575155

Steve Matthews, CFA, is a principal at Carlson Brothers, a leading regional investment bank specializing in initial public offerings of small to mid-sized biotech firms. Just before many of the IPOs are offered to the general public, Matthews arranges for 10% of the shares to be distributed to management of the firm going public. This action is a violation of the Standard concerning:

A) additional compensation.



B) disclosure of conflicts of interest.



C) fair dealing.



Explanation

Standard III(B) Fair Dealing requires that members not use their position to disadvantage clients, specifically in the case of IPOs.

(Module 91.4, LOS 91.a), (Module 91.4, LOS 91.b), and (Module 91.4, LOS 91.c)

Related Material

[SchweserNotes - Book 5](#)

Question 7

Question ID: 1575156

Melvin Byrne, CFA, manages a portfolio for James Martin, a wealthy client. Martin's portfolio is well diversified with a slight tilt toward capital appreciation. Martin requires very little income from the portfolio. Recently, Martin's brother, Cliff, has become a client of Byrne. Byrne proceeds to invest Cliff's portfolio in a similar manner to James's portfolio based on the fact that both brothers have a similar lifestyle and are only two years apart in age. Which of the following statements is *most likely* correct? Byrne:

A) violated the Code and Standards by knowingly creating a conflict of interest between James's and Cliff's portfolios.



B) violated the Code and Standards by failing to determine Cliff's objectives and constraints prior to investing his portfolio.



C) did not violate the Code and Standards.



Explanation

Standard III(C) Suitability requires that before taking investment action, members and candidates must make a reasonable inquiry into a client's or prospect's investment objectives and constraints as well as their prior investment experience. Byrne cannot assume that because the brothers have similar lifestyles and are close in age that they should have similarly managed portfolios. Byrne should have interviewed Cliff directly before investing his portfolio.

(Module 91.5, LOS 91.a), (Module 91.5, LOS 91.b), and (Module 91.5, LOS 91.c)

Related Material

Question 8

Question ID: 1575157

Beth Anderson, CFA, is a portfolio manager for several wealthy clients, including Reuben Carlyle. Anderson manages Carlyle's personal portfolio of stock and bond investments. Carlyle recently told Anderson that he is under investigation for tax evasion related to his business, Carlyle Concrete. After learning about the investigation, Anderson informs a friend at a local investment bank so that the bank may withdraw their proposal to take Carlyle Concrete public. Anderson has *most likely*:

A) violated the Code and Standards by failing to maintain the confidentiality of her client's information.



B) violated the Code and Standards by failing to detect and report the tax evasion to the proper authorities.



C) not violated the Code and Standards since the information she conveyed pertained to illegal activities on the part of her client.



Explanation

Anderson must maintain the confidentiality of client information according to Standard III(E) Preservation of Confidentiality. Confidentiality may be broken in instances involving illegal activities on the part of the client, but the client's information may only be relayed to proper authorities. Anderson did not have the right to inform the investment bank of her client's investigation.

(Module 91.5, LOS 91.a), (Module 91.5, LOS 91.b), and (Module 91.5, LOS 91.c)

Related Material

Question 9

Question ID: 1575158

Robert Blair, CFA, is a director of research and has had an ongoing battle with his firm's management about the adequacy of its compliance system. Blair believes the firm's compliance procedures are inadequate in that they are not being monitored or carefully followed. Blair should *most appropriately*:

A) resign from the firm unless the compliance system is strengthened and followed.



B) send his superior a memo outlining the problem.



C) decline in writing to continue to accept supervisory responsibility until reasonable compliance procedures are adopted.



Explanation

According to Standard IV(C) Responsibilities of Supervisors, because he is aware that the firm's compliance procedures are not being monitored and followed and because he has repeatedly tried to get company management to correct the situation, Blair should decline supervisory responsibility until adequate procedures to detect and prevent violations of laws, regulations, and the Code and Standards are adopted and followed. If he does not do so, he will be in violation of the Code and Standards.

(Module 91.6, LOS 91.a), (Module 91.6, LOS 91.b), and (Module 91.6, LOS 91.c)

Related Material

[SchweserNotes - Book 5](#)

Question 10

Question ID: 1575159

Sally Albright, CFA, works full time for Frank & Company, an investment management firm, as a fixed-income security analyst. Albright has been asked by a business contact at KDG Enterprises to accept some analytical work from KDG on a consulting basis. The work would entail investigating potential distressed debt securities in the small-cap market. Albright should *most appropriately*:

A) accept the work as long as she obtains consent to all the terms of the engagement from Frank & Company.



B) not accept the work as it violates the Code and Standards by creating a conflict of interest.



C) accept the work as long as she obtains written consent from KDG and does it on her own time.



Explanation

Albright may accept work for which she receives outside compensation and that may compete with her employer only if she obtains her employer's consent. Under Standard IV(A) Loyalty, she must obtain her employer's consent for her consulting work before beginning the work.

(Module 91.6, LOS 91.a), (Module 91.6, LOS 91.b), and (Module 91.6, LOS 91.c)

Related Material

[SchweserNotes - Book 5](#)

Question 11

Question ID: 1575160

Neiman Investment Co. receives brokerage business from Pick Asset Management in exchange for referring prospective clients to Pick. Pick advises clients—in writing, before the relationship is established—of the nature of its arrangement with Neiman. With regard to this practice, Pick has:

A) complied with the Code and Standards.



B) violated the Code and Standards by failing to preserve the confidentiality of the agreement with Neiman.



C) violated the Code and Standards by participating in an agreement that creates a conflict of interest.



Explanation

Pick has not violated the Standards. The referral arrangement is fully disclosed to clients before they agree to do business with Pick, in accordance with Standard VI(C) Referral Fees. Therefore, clients can fully assess the effect of the agreement on the referral and how the agreement may affect their accounts before hiring Pick as their asset manager.

(Module 91.8, LOS 91.a), (Module 91.8, LOS 91.b), and (Module 91.8, LOS 91.c)

Related Material

SchweserNotes - Book 5

Question 12

Question ID: 1575161

Ralph Salley, a Level I candidate in the CFA Program, is explaining Standard VI(B) Priority of Transactions to his supervisor. Salley states, "The Standard recommends, but does not require, that members and candidates should not participate in initial public offerings. The Standard also recommends that trades for accounts of family members be made after those for other clients, but before those for the account of the members and candidates responsible for executing the transactions." Salley's explanation of the Standard is:

A) correct.



B) incorrect, because the Standard does not recommend that trades for family members be made after those for other clients.



C) incorrect, because the Standard requires that members and candidates not participate in initial public offerings.



Explanation

Standard VI(B) Priority of Transactions recommends that members and candidates avoid the appearance of conflict of interest by not participating in IPOs. If a family member is a fee-paying client, the member or candidate should treat them like any other client, not giving any advantage or disadvantage to their accounts.

(Module 91.8, LOS 91.a), (Module 91.8, LOS 91.b), and (Module 91.8, LOS 91.c)

Related Material

Question 13

Question ID: 1575162

A research report states: "Based on the fact that the South American utilities sector has seen rapid growth in new service orders, we expect that most companies in the sector will be able to convert the revenue increases into significant profits. We also believe the trend will continue for the next three to five years." The report goes on to describe the major risks of investing in this market. The author of this report:

A) has not violated the Code and Standards.



B) violated the Code and Standards by failing to properly distinguish factual information from opinions.



C) violated the Code and Standards by failing to properly identify details related to the operations of South American utilities.



Explanation

Historical growth can be cited as a fact. The report states that the firm expects further growth and profitability, which phrases the statement as an opinion. Under Standard V(B) Communication with Clients and Prospective Clients, it is not necessary to include every detail about a potential investment in a report. Members and candidates are expected to use their judgment and identify the most important factors to include.

(Module 91.9, LOS 91.a), (Module 91.9, LOS 91.b), and (Module 91.9, LOS 91.c)

Related Material

[SchweserNotes - Book 5](#)

Question 14

Question ID: 1575163

Frist Investments, Inc., has just hired Michael Pulin to manage institutional portfolios, most of which are pension related. Pulin has just taken the Level III CFA exam and is awaiting his results. Pulin has more than 15 years of investment management experience with individual clients but has never managed an institutional portfolio. Pulin joined the CFA Institute as an affiliate member two years ago and is in good standing with the organization. Which of the following statements would be *most appropriate* for Frist to use in advertising Pulin as a new member of the firm? Pulin:

A) has many years of investment experience, which, along with his participation in the CFA program, will allow him to deliver superior investment performance relative to other managers. 

B) is a CFA Level III and passed the first two exams on the first attempt. He is an affiliate member of the CFA Institute. We expect him to become a regular member if he passes the Level III examination. 

C) is a Level III CFA candidate and has many years of excellent performance in the investment management industry. Pulin is an affiliate member of the CFA Institute and will be eligible to become a CFA charterholder and regular member if he passes the Level III CFA Exam. 

Explanation

Standard VII(B) governs acceptable methods of referencing the CFA Institute, CFA designation, and CFA Program. Candidates may reference their candidacy if they are enrolled for, or waiting for the results of, a CFA exam. Pulin may also reference his membership status with the CFA Institute as well as his remaining eligibility requirements to become a CFA charterholder.

(Module 91.9, LOS 91.a), (Module 91.9, LOS 91.b), and (Module 91.9, LOS 91.c)

Related Material

Question 15

Question ID: 1575164

Samantha Donovan, CFA, is an exam proctor for the Level II CFA exam. The day before the exam is to be administered, Donovan faxes a copy of one of the questions to two friends, James Smythe and Lynn Yeats, who are Level II candidates in the CFA program. Donovan, Smythe, and Yeats had planned the distribution of an exam question months in advance. Smythe used the fax to prepare for the exam. Yeats, however, had second thoughts and threw the fax away without looking at its contents. Which of the following statements is *most likely* correct?

A) Smythe violated the Code and Standards, but Yeats did not.



B) Donovan violated the Code and Standards, but Smythe did not.



C) Donovan and Yeats both violated the Code and Standards.



Explanation

In this situation, Donovan, Smythe, and Yeats all violated Standard VII(A) Conduct as Participants in CFA Institute Programs. The Standard prohibits conduct that compromises the integrity, validity, or security of the CFA exams. Donovan clearly breached the exam security. Smythe and Yeats both compromised the integrity of the exams by planning to use the actual exam question to gain an advantage over other candidates. Even though Yeats did not ultimately use the information to study for the exam, she participated in a scheme to cheat on the CFA exam.

(Module 91.9, LOS 91.a), (Module 91.9, LOS 91.b), and (Module 91.9, LOS 91.c)

Related Material

Question 16

Question ID: 1575165

For investment management firms:

A) both compliance with GIPS and third-party verification are required.



B) neither third-party verification nor compliance with GIPS is required.



C) GIPS compliance is required but third-party verification is not required.



Explanation

Both compliance with GIPS and third-party verification are voluntary.

(Module 92.1, LOS 92.a) and (Module 92.1, LOS 92.e)

Related Material

[SchweserNotes - Book 5](#)

Question 17

Question ID: 1575166

A firm claiming compliance with GIPS may exclude a client account from all composites:

A) only if the manager makes no trading decisions for the account.



B) only if the client makes a majority of the trading decisions for the account.



C) if client restrictions prevent the manager from following the stated account strategy.



Explanation

A firm may determine that a portfolio is nondiscretionary—and therefore not include it in a composite—if the client places restrictions on it that prevent the manager from carrying out the intended strategy. (Module 92.1, LOS 92.d)

Related Material

SchweserNotes - Book 5

Question 18

Question ID: 1575167

An investment management firm may claim GIPS compliance:

A) for any composite with performance reported in compliance with GIPS.



B) for any geographic location that reports performance in compliance with GIPS.



C) only if performance for all firm locations operating under the firm name is compliant with GIPS.



Explanation

GIPS can only be claimed on a firm-wide basis. The definition of the firm, for purposes of GIPS compliance, must be the corporation, subsidiary, or division that is held out to clients as a business entity. (Module 92.1, LOS 92.d)

Related Material

SchweserNotes - Book 5